

A PIF-led group paid \$210 a share. Could a buyout fund?

An LBO of Electronic Arts rebuilt from the 10-K and the \$18bn debt package: sources and uses, six debt tranches, a five-year plan with cost savings, sponsor returns and the most a fund could pay at a 20% IRR.

\$55bn

largest leveraged buyout
ever

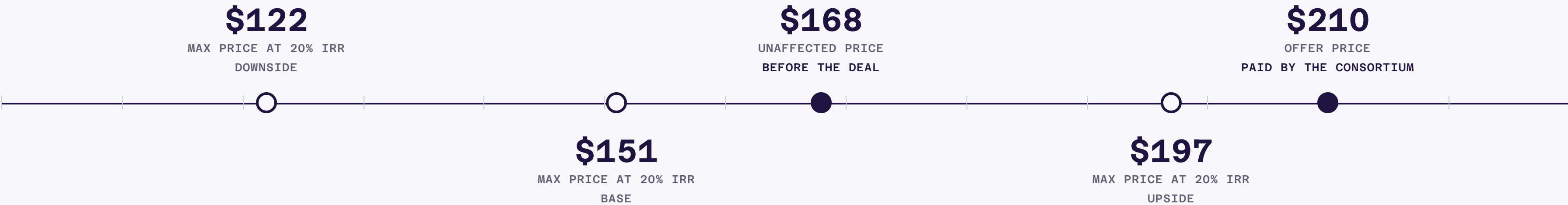
19.4×

entry EV / FY2026 adj.
EBITDA

7.5%

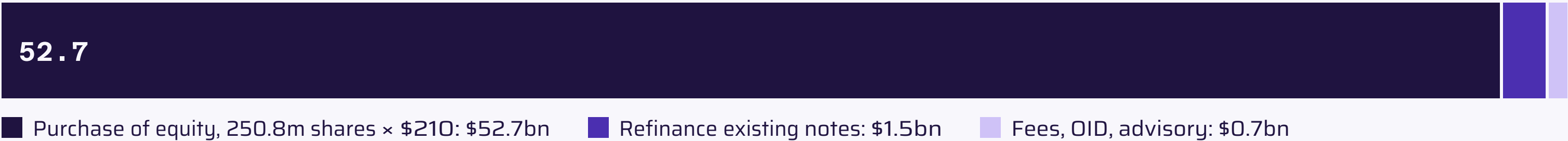
sponsor IRR, Base case

PRICE PER SHARE, \$ · HOLLOW = WHAT A 20%-IRR SPONSOR COULD PAY · SOLID = MARKET



A \$54.8bn cheque, nearly two-thirds of it equity.

USES · \$54.8BN

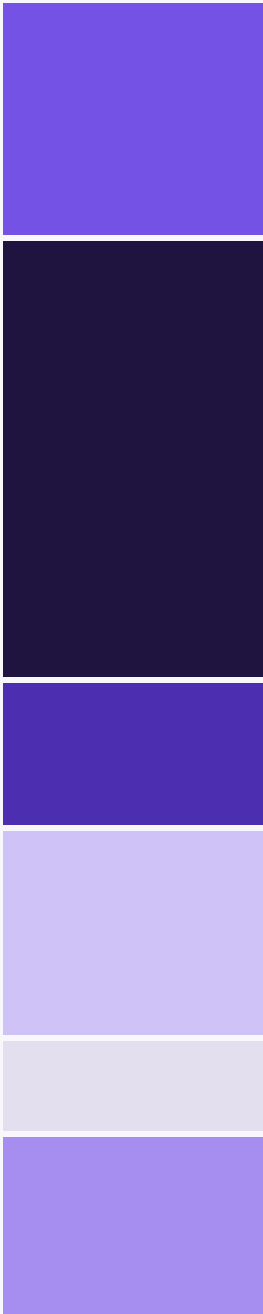


SOURCES · \$54.8BN



ENTRY EV / FY26 ADJ. EBITDA 19.4×	ON MARKETED EBITDA 15.0×	GROSS LEVERAGE 6.8×	EQUITY CUSHION 63.5%
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Six tranches, \$45bn of orders, 6.8× on day one.



TRANCHE	AMOUNT	PRICING	ALL-IN	TERMS
 Term Loan A	\$3.25bn	SOFR + 175*	5.50%	Amortising, prepayable
 Term Loan B (USD)	\$6.13bn	SOFR + 350, OID 98.5	7.25%	1% amort., prepayable
 Term Loan B (EUR)	€1.73bn	E + 350, OID 98.5	5.75%	1% amort., prepayable
 Secured notes 2033 (USD)	\$2.88bn	7.25% fixed	7.25%	Bullet
 Secured notes 2033 (EUR)	€1.08bn	6.25% fixed	6.25%	Bullet
 Unsecured notes 2034	\$2.50bn	8.75% fixed	8.75%	Bullet

YEAR-1 CASH INTEREST

\$1.24bn

EBITDA / INTEREST, FY27

2.4×

RATINGS

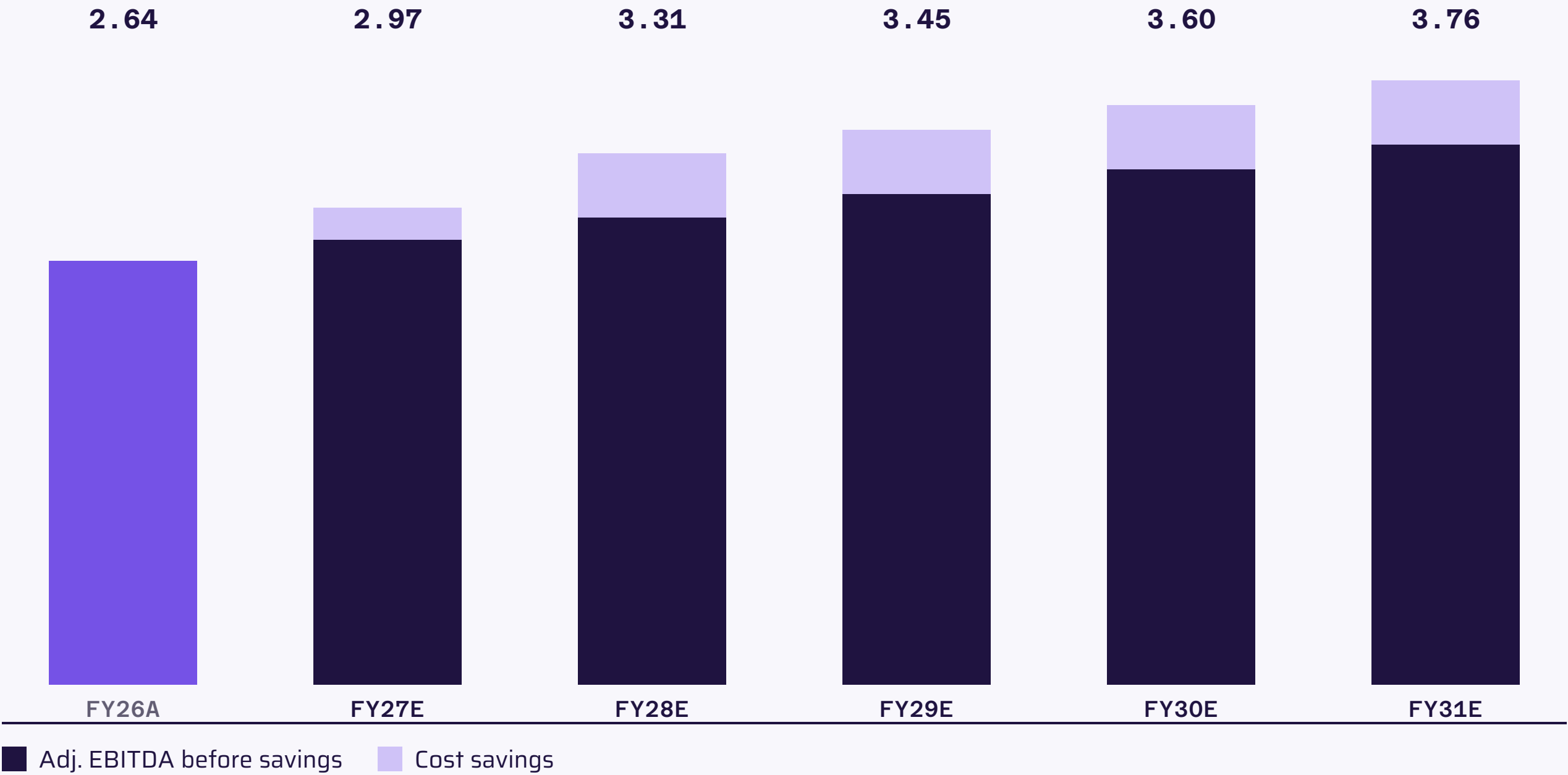
BB- / B1

UNDRAWN REVOLVER

\$0.5bn

* TLA spread and base rates (SOFR 3.75%, Euribor 2.25%) are assumptions; every other term is from the closing 8-K and syndication coverage.

Growth plus savings: EBITDA from \$2.6bn to \$3.8bn.



DOWNSIDE	
Bookings growth	2%
Cost savings	\$200m
Exit multiple	14×
FY31 adj. EBITDA	\$3.11bn

BASE	
Bookings growth	5%
Cost savings	\$400m
Exit multiple	16×
FY31 adj. EBITDA	\$3.76bn

UPSIDE	
Bookings growth	8%
Cost savings	\$700m
Exit multiple	19×
FY31 adj. EBITDA	\$4.57bn

Debt paydown and EBITDA growth halve leverage in the Base case.

NET LEVERAGE BY SCENARIO



DEBT REPAID, BASE

\$6.7bn

all through the term loans; notes stay outstanding

COVERAGE, FY27 → FY31

2.4x → 4.0x

adj. EBITDA / cash interest

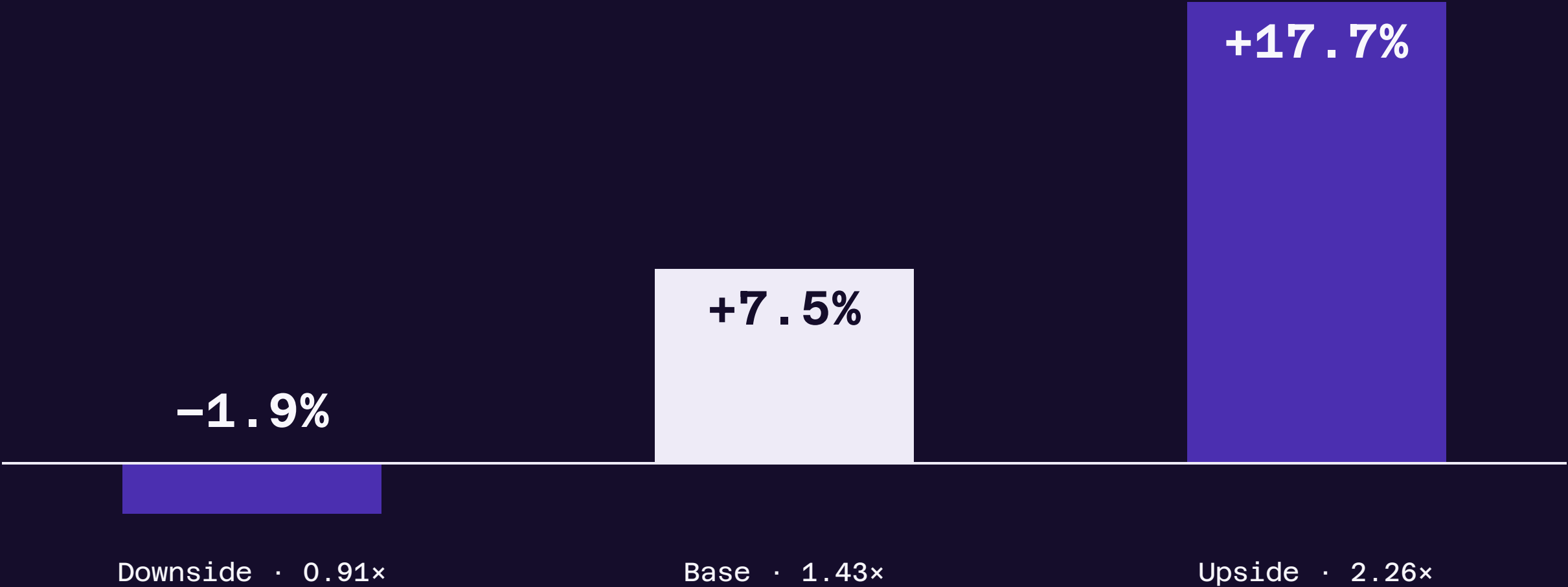
FREE CASH FLOW AFTER INTEREST

\$0.9–1.7bn

per year in the Base case

At \$210 the best case earns 17.7%. The hurdle is 20%.

20% IRR HURDLE



MAX PRICE AT 20% IRR, BASE

\$151

10% below the \$168 unaffected price

EXIT MULTIPLE NEEDED AT \$210

25.8x

for 20% in the Base case, vs 19.4x paid

EQUITY IN, EQUITY OUT, BASE

\$34.8bn → \$49.9bn

1.43x in five years

Only a cheaper price or a richer exit gets to 20%.

	EXIT EV / ADJ. EBITDA →					
	12×	14×	16×	18×	20×	22×
\$150	12.1%	16.6%	20.4%	23.9%	27.0%	29.8%
\$168	7.5%	11.8%	15.5%	18.8%	21.8%	24.5%
\$180	5.0%	9.2%	12.9%	16.1%	19.0%	21.6%
\$195	2.3%	6.4%	10.0%	13.1%	15.9%	18.5%
\$210	0.0%	4.0%	7.5%	10.5%	13.3%	15.8%
\$225	-2.0%	1.9%	5.3%	8.3%	11.0%	13.4%

↑ ENTRY PRICE PER SHARE · OUTLINED: \$210 AT THE BASE 16× EXIT

CONCLUSION

EA was not a classic LBO. At 19.4× EBITDA and 6.8× leverage, a fund with a 20% hurdle could pay \$122–197 a share. The \$210 price fits a long-term owner with a lower cost of capital, and PIF funds most of the equity.

Excel model, live formulas	353
Scenarios on one switch	3
Python vs Excel gap	\$0.00
Deliverables	notebook · Excel · memo · deck